

IMMEDIATE ACTION REQUIRED - ACP PRIOR METHOD TEST FAILURE - AFTER 12-MONTHS

ACP corrections completed after the 12-month correction period need to be completed using the one-to-one correction method under the Internal Revenue Code EPCRS Procedure.

Contribution refunds are required to correct the ACP testing failures, and the employer is required to make a QNEC contribution equal to the total amount of the corrective distributions, which is allocated to the non-highly compensated employees (NHCEs).

Review the ACP Correction Method summary for details.

The distribution is subject to a 10% federal income tax, unless the participant completes a Form W-4R indicating he/she either does not want taxes withheld or wants an additional amount withheld.

If you need assistance or have questions, please contact your local regional office representative right away.

IMMEDIATE ACTION REQUIRED - ACP CURRENT METHOD TEST FAILURE - AFTER 12-MONTHS

ACP corrections completed after the 12-month correction period need to be completed under one of the Internal Revenue Code EPCRS approved self-correction methods. The employer needs to use one of the following correction methods:

1. **QNEC Correction Method.** This method allows the employer to contribute qualified nonelective contributions (QNECs) to the extent necessary to pass the applicable test. This amount can be found on the Correction Method page of the ACP Nondiscrimination Test reports.
2. **One-to-One Correction Method.** Under this method, contribution refunds are required to correct the ACP testing failures, and the employer is required to make a QNEC contribution equal to the total amount of the corrective distributions, which is allocated to the non-highly compensated employees (NHCEs).

Please review the ACP Correction Method summary and notify us of the correction method selected. Allocation breakdown based on selected correction option will be provided.

The distribution is subject to a 10% federal income tax, unless the participant completes a Form W-4R indicating he/she either does not want taxes withheld or wants an additional amount withheld.

If you have questions, please contact your local regional office representative right away.

NO IMMEDIATE ACTION IS REQUIRED AT THIS TIME